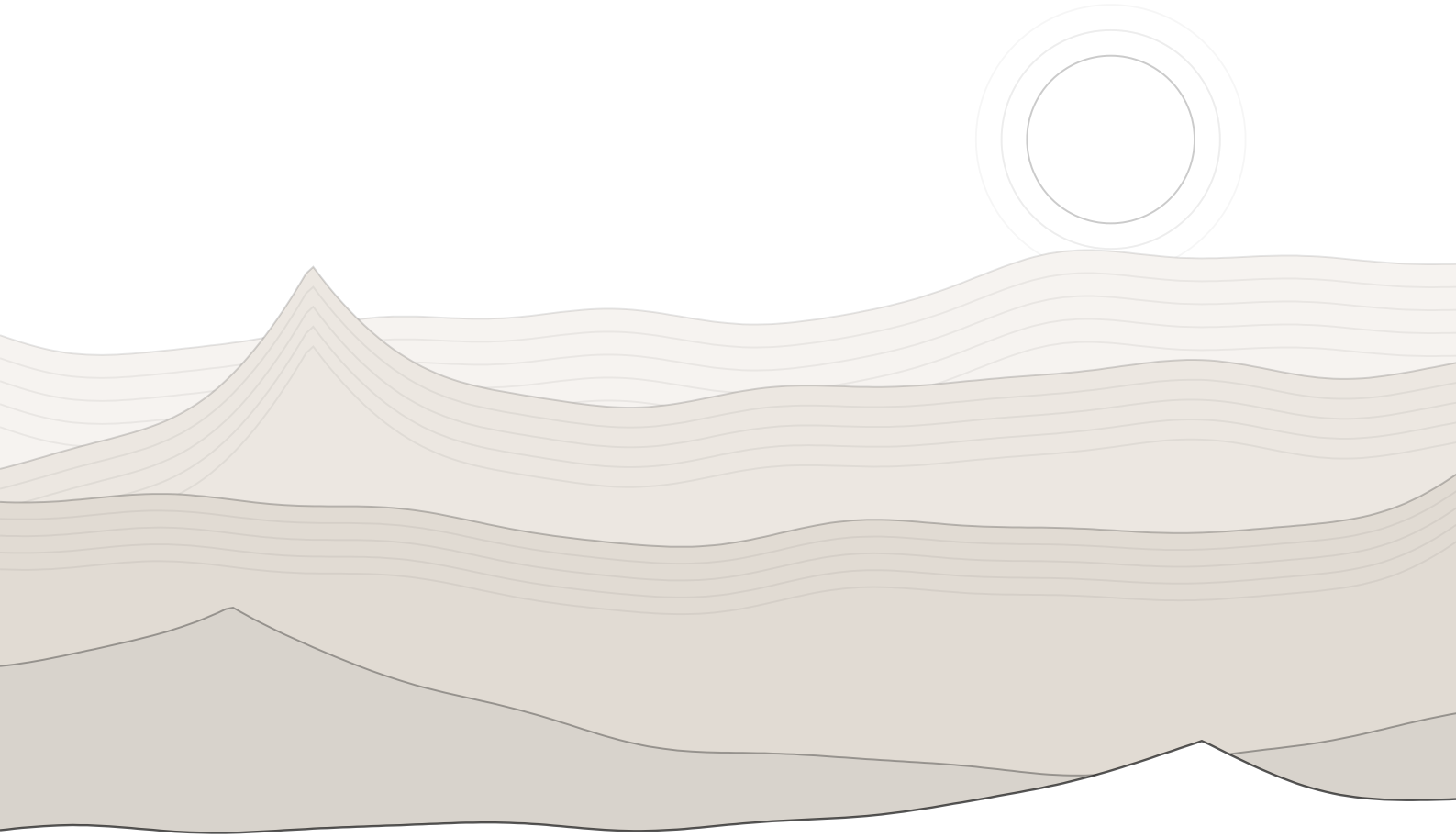
Matterhorn Capital Management

AMC 2026 · ROUND 2 · GROUP 3

# Tactical Deviation

[One paragraph: the stocks we add to the SAA, why, and the catalysts we expect before the end of December.]



NAV · 30.10.26

**USD 98.9M**

TRACKING-ERROR BUDGET

**2–5%**

PUBLISHED

**[dd.mm.yy]**

# Round 1: the results

The Round 1 portfolio from the close of Friday 16 October 2026, when it was entered in Bloomberg, to the close of 30 October 2026: 10 trading days. Prices are closes, and dividends are reinvested in the ETF that pays them at the ex-date close, as in Bloomberg PRTU.

| RETURN | REALISED VOLATILITY | SHARPE RATIO | MAXIMUM DRAWDOWN |
|---|---|---|---|
| **−1.11%** | **—** | **—** | **−1.24%** |
| USD 100.0M → 98.9M | Needs 20 daily returns · 10 so far | Needs 20 daily returns | 28.10.26 → 30.10.26 |

**FIGURE 1 · NAV OF THE FUND, INDEX 16 OCTOBER = 100**




**TABLE 1 · PERFORMANCE AND RISK OF THE ROUND 1 PORTFOLIO**

| | ROUND 1 PORTFOLIO | AT THE START · ROUND 1 REPORT |
|---|---|---|
| Period | 16.10.26–30.10.26 | Ex ante, 16.10.26 |
| Trading days | 10 | — |
| Return, cumulative | −1.11% | — |
| Volatility, realised, annualised | — | Target 8% · band 7–9% |
| Ex-ante volatility | 8.45% | 8.13% |
| Sharpe Ratio | — | — |
| Maximum drawdown | −1.24% | — |
| 1-month 5% VaR | 4.01% · USD 3,968,694 | 3.86% · USD 3,861,174 |

*Realised volatility and the Sharpe Ratio (on returns in excess of the 1-month T-bill) are computed from daily returns once there are 20, the rule of our website; with 10 so far they are not reported. Ex-ante volatility = √(w′Vw) on the current weights and the last 60 complete months (Oct 2021 – Sep 2026); VaR = 1.645 × σ / √12, as in Round 1. Draft: the final figures use the close of Friday 6 November.*

### 1.1 · RETURN AND RISK AGAINST THE TARGET

[Commentary: the return so far, realised against ex-ante volatility and the 8% target, and what explains the drawdown.]

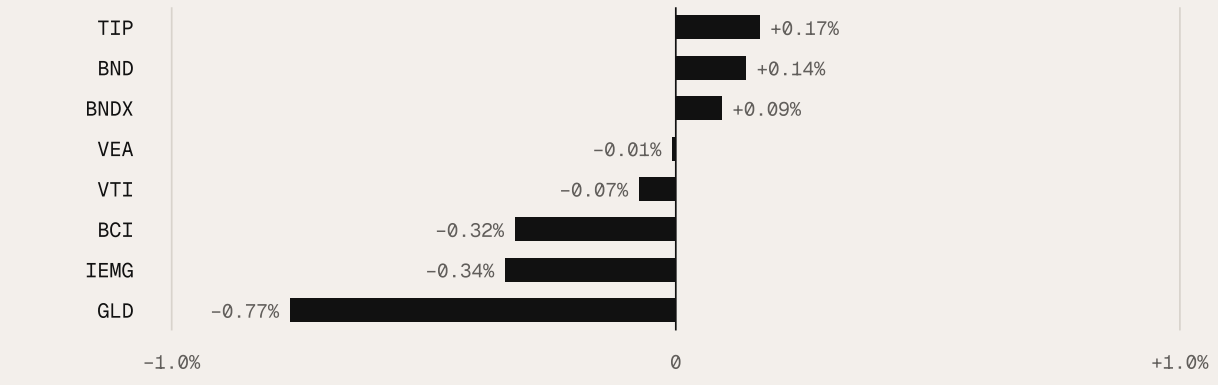
# Positions and attribution

**TABLE 2 · POSITIONS AND CONTRIBUTION TO THE RETURN**

| ETF | SHARES | PRICE 16.10 | PRICE 30.10 | WEIGHT, START | WEIGHT, NOW | RETURN | CONTRIBUTION | RISK CONTR. |
|---|---|---|---|---|---|---|---|---|
| EQUITY · 31.38% → 31.31% OF THE NAV · CONTRIBUTION −0.42% | | | | | | | | |
| **VTI** | 29,149 | 374.07 | 371.57 | 10.90% | 10.95% | −0.67% | −0.07% | 16.3% |
| **VEA** | 147,369 | 69.49 | 69.44 | 10.24% | 10.35% | −0.07% | −0.01% | 18.3% |
| **IEMG** | 133,320 | 76.79 | 74.25 | 10.24% | 10.01% | −3.31% | −0.34% | 17.4% |
| BONDS · 45.07% → 45.98% OF THE NAV · CONTRIBUTION +0.40% | | | | | | | | |
| **BND** | 188,225 | 70.82 | 71.56 | 13.33% | 13.62% | +1.04% | +0.14% | 8.3% |
| **BNDX** | 349,731 | 47.13 | 47.39 | 16.48% | 16.76% | +0.55% | +0.09% | 7.8% |
| **TIP** | 144,602 | 105.54 | 106.69 | 15.26% | 15.60% | +1.09% | +0.17% | 9.4% |
| REAL ASSETS · 23.54% → 22.71% OF THE NAV · CONTRIBUTION −1.08% | | | | | | | | |
| **GLD** | 29,177 | 382.01 | 355.78 | 11.15% | 10.50% | −6.87% | −0.77% | 13.2% |
| **BCI** | 469,258 | 26.42 | 25.74 | 12.40% | 12.21% | −2.57% | −0.32% | 9.3% |
| BIL | 0 | 91.57 | 91.70 | 0.00% | 0.00% | — | 0.00% | 0.0% |
| Cash (USD 5.22) | | | | 0.00% | 0.00% | — | 0.00% | 0.0% |
| **Total** | | | | **100.00%** | **100.00%** | **−1.11%** | **−1.11%** | **100.0%** |

*Return of each position with dividends reinvested. Contribution = change in the value of the position / NAV at the start: the contributions add up to the return of the portfolio. Risk contribution: share of the ex-ante variance, current weights. BIL, the cash leg, holds no shares (Round 1, section 09). Draft: the final figures use the close of Friday 6 November.*

**FIGURE 2 · CONTRIBUTION TO THE RETURN, BY POSITION**




### 1.2 · WHICH POSITIONS ARE BEHIND THE GAINS AND THE LOSSES

[Commentary: the positions behind the result, by basket, and what moved them.]

# Hormel Foods HRL

NYSE · Consumer Defensive · Packaged Foods · USD · Price date 30.10.26

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| 28.06 | 21.28 | +31.8% | +34.0% | 11.7bn | 5.5% |
| DDM | USD, close 30.10.26 | $V_0 / P_0 - 1$ | IR 1.47 | USD | DO USD 1.17 |

## 1 · INVESTMENT CASE

**FAIR VALUE VS PRICE**

The two-stage DDM gives USD 28.06, against a price of USD 21.28. At a cost of equity of 6.66%, the price implies only 1.1% dividend growth forever. Yet consensus has adjusted EPS rising from 1.37 to 1.57 by next fiscal year, and the company targets 5–7% operating profit growth [3]. GAAP hides this: trailing EPS of 0.62 carries charges such as a USD 56m loss on the Brazil sale [1].

**MARGIN OF SAFETY AND ALPHA**

Margin of safety +31.8%, alpha +34.0% a year (IR 1.47), assuming the gap closes within one year.

**CATALYST**

**Q4 results, FY26 accounts and FY27 guidance, the first from the new CEO** · `About 3 Dec (Yahoo).` Reported on 4 Dec in 2024 and 2025 [4]; this year's date is not yet confirmed. The main event: guidance on algorithm supports EPS of 1.57, and FY26 cash flow could clear the FCF red flags.

**61st annual dividend increase** · `Late Nov (expected).` Last year's came on 24 Nov 2025 [2]. Not yet announced. A raise above last year's 1% would signal that the CEO expects cash flow to recover.

**DECISION**

**Long candidate.** A low-beta, conservatively financed company yielding 5.5%, with dated news inside the challenge. The comparables give USD 17.58, so we read the margin as an upper bound.

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

### WHY THIS METHOD

Hormel has paid a dividend every quarter since 1928 and raised it 60 years running [2], with no buybacks in FY24–FY25, so dividends are the cash owners receive. We use two stages because earnings are below normal: higher growth while margins recover, then a low terminal rate.

### METHODS THAT DO NOT FIT

Gordon alone would ignore the recovery or extend it forever. Trailing P/E is distorted by one-off charges. P/B says little after write-downs across the sector. A cash-flow DCF would start from FY25 FCF, the lowest in four years (USD 534m).

### DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | USD 21.28 | Close 30.10.26, not adjusted |
| $D_0$, dividend | USD 1.17 | Dividends paid, last 12 months |
| β on SPY | 0.27 | Slope on SPY, 60 months |
| $r_f$, 10-year yield | 4.98% | FRED DGS10, 29.10.26 |
| ERP | 6.11% | Bloomberg CRP, Class 5: refresh |
| $k = r_f + \beta$ ERP | 6.66% | CAPM |
| $g_1$, first stage | 4.0% | Below consensus EPS growth of 5.6% |
| T, years | 5 | Years to rebuild margins; ours |
| $g_2$, terminal | 2.0% | Below the 2–3% sales algorithm [3]; ours |
| Gordon value | USD 25.66 | +21% vs price |
| **Two-stage value** | **USD 28.06** | **+32% vs price; 81% terminal value** |

### SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | 1.0% | 1.5% | 2.0% | 2.5% | 3.0% |
|---|---|---|---|---|---|
| 5.66% | 29.07 | 32.02 | 35.78 | 40.74 | 47.55 |
| 6.16% | 26.22 | 28.56 | 31.46 | 35.15 | 40.01 |
| **6.66%** | 23.88 | 25.76 | **28.06** | 30.90 | 34.52 |
| 7.16% | 21.91 | 23.47 | 25.32 | 27.57 | 30.36 |
| 7.66% | 20.25 | 21.54 | 23.06 | 24.88 | 27.09 |
| Upside | +12% | +21% | +32% | +45% | +62% |

*Two-stage DDM value, USD. Shaded: at or above the price of 21.28. Dark: base case. Upside at the base k.*

The DDM is at or above the price in 24 of 25 cases; it falls below only if k rises and g2 falls by a full point each. The terminal rate of 2.0% is also below sustainable growth of 2.8%.

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

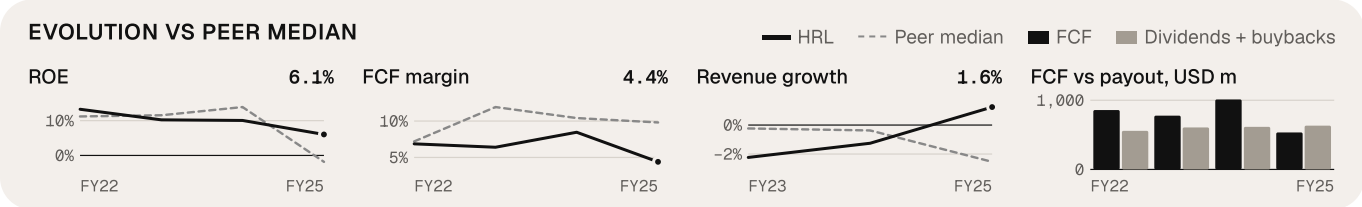
| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **GIS** General Mills | 18.3 | 10.9x | 11.3x | 9.2x |
| **CPB** Campbell's | 6.4 | 11.7x | 9.4x | 8.5x |
| **SJM** J. M. Smucker | 13.9 | 11.8x | 12.0x | 9.2x |
| **KHC** Kraft Heinz | 28.9 | 11.7x | 7.9x | 8.2x |
| **CAG** Conagra Brands | 7.0 | 9.7x | 7.1x | 8.7x |
| **MKC** McCormick | 12.7 | 14.7x | 17.2x | 12.0x |
| Peer average | | 11.7x | 10.8x | 9.3x |
| Peer median | | 11.7x | 10.3x | 8.9x |
| **HRL** Hormel Foods | **11.7** | **13.6x** | **21.9x** | **10.8x** |
| Implied price at peer average | | 18.41 | 10.50 | 17.72 |
| Implied price at peer median | | 18.32 | 10.05 | 16.85 |

*Comps value USD 17.58 (–17%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | FY25 | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND | |
|---|---|---|---|---|---|---|---|
| Profitability | ROE | 6.1% | -1.8% | 11.2% | better | worsening | |
| Profitability | ROA | 3.6% | -0.6% | 6.5% | better | worsening | |
| Profitability | FCF margin | 4.4% | 9.8% | 7.3% | worse | worsening | **Red flag** |
| Growth | Revenue growth | 1.6% | -3.2% | -2.2% | better | improving | |
| Growth | Gross margin | 15.6% | 33.4% | 17.0% | worse | worsening | **Red flag** |
| Safety | Debt / equity | 0.36 | 1.21 | 0.41 | better | improving | |
| Payout | Payout / FCF | 1.18 | 0.70 | 0.68 | worse | worsening | **Red flag** |

**Earnings test:** adjusted EPS 1.37 (FY25) → 1.48 → 1.57 (forward): rising. Trailing GAAP EPS of 0.62 includes one-off items.




WATCH **Red flags or falling earnings, not both: watch, not a trap.** Margins and cash flow weakened in FY25, lifting P/FCF to 21.9x against 10.3x for peers, and sales guidance was cut in August [1]. But earnings are expected to grow and debt is low. The FY26 accounts, due with Q4 results, are the real test.

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | α closed = $(1 + k)(V_0 - P_0) / P_0$ | +34.0% | 1.47 |
| Gap never closes | α never = $D_1 / P_0 + g - k$ | +1.0% | 0.04 |
| **Used: closes in 1 year** | **Goes into Treynor-Black** | **+34.0%** | **1.47** |

Two dated events fall in the window, so we assume the gap closes within 1 year (Class 5). The comparables give USD 17.58, below the price, so this alpha is an upper bound, not a forecast. IR 1.47, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

### VALUE-TRAP RISK: CASH MUST COVER THE DIVIDEND

FY25 FCF did not cover the dividend (payout/FCF 1.18), the main trap risk, and Q3 volume fell 7.4% [1]. We are wrong if FY27 EPS guidance is below FY26 or FCF again misses the dividend. First-stage growth of 4.0% also needs a lower payout (now 75%).

### MANAGEMENT QUALITY AND UPSIDE

CEO John Ghingo, since 26 Oct 2026 [5], is unproven. So far: debt/equity 0.36, no buybacks, two businesses sold [1]. No activist route: the Hormel Foundation holds 46.8% [6]. Upside: USD 28.06 (+32%), if FY27 guidance is on algorithm.

***Model flags:*** *DDM and comparables disagree (the TA's "mixed: check"); IR of 1.47 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] Hormel Foods, Q3 FY2026 results, 27 Aug 2026. [2] Hormel Foods, 60th dividend increase, 24 Nov 2025. [3] Hormel Foods, preliminary Q1 FY2026, 17 Feb 2026. [4] Hormel Foods, Q4 call notices, 2024–25. [5] Twin Cities Business, CEO succession, 2026. [6] Hormel Foods, Who owns Hormel Foods? Market data: Yahoo Finance and FRED, downloaded 01.11.26.

# Coca-Cola KO

NYSE · Consumer Defensive · Beverages - Non-Alcoholic · USD · Price date 30.10.26

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| 67.23 | 94.08 | −28.5% | −1.4% | 404.7bn | 2.2% |
| DDM | USD, close 30.10.26 | $V_0 / P_0 - 1$ | IR −0.10 | USD | DO USD 2.10 |

## 1 · INVESTMENT CASE

**FAIR VALUE VS PRICE**

The two-stage DDM gives USD 67.23, against a price of USD 94.08. At a cost of equity of 6.68%, the price implies 4.4% dividend growth forever, against about 4% at the last raise [2]. The business is doing well: Q3 volume rose 5% and organic revenue 7% [1]. But the market has paid for this, at 26.7x forward earnings against 17.6x for peers.

**MARGIN OF SAFETY AND ALPHA**

Margin of safety −28.5%, alpha −1.4% a year (IR −0.10), assuming the gap never closes.

**CATALYST**

**Sale of 75% of Coca-Cola Beverages Africa closes** · `By 31 Dec (company)`. Guidance assumes a Q4 close, subject to approvals [1]; South Africa cleared it in September [3]. It makes the 2027 drag concrete, about 8% off revenue and 2% off EPS [1], but this is already guided: a small move.

**Eleventh Circuit ruling on the IRS tax case** · `No date set`. Heard on 25 Jun 2026, still pending in the Q3 10-Q [4]. It can come any day, but there is no deadline. It cuts both ways: a full loss costs up to about USD 22bn, near USD 5 a share; a win returns USD 6.6bn [4].

**DECISION**

**No position: negative alpha.** This is an excellent company at a full price, not a mispricing we can buy. Alpha is negative even if the gap never closes, so we would not hold it in a long-only book.

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

### WHY THIS METHOD

Coca-Cola has raised its dividend for 64 years [2] and returns cash mainly through it: USD 6.8bn of dividends against USD 0.9bn of buybacks in nine months [4]. We use two stages because earnings are growing faster than a global staple can sustain forever: 6.0% for 5 years, then 3.0%.

### METHODS THAT DO NOT FIT

Gordon alone would apply one rate to both phases. A cash-flow DCF would start from FY25 FCF, cut by the one-off fairlife payment [5]. P/B says little: brands built in-house are not on the balance sheet. Few peers have these margins, so the comparables are only a double check.

### DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | USD 94.08 | Close 30.10.26, not adjusted |
| $D_0$, dividend | USD 2.10 | Dividends paid, last 12 months |
| β on SPY | 0.28 | Slope on SPY, 60 months |
| $r_f$, 10-year yield | 4.98% | FRED DGS10, 29.10.26 |
| ERP | 6.11% | Bloomberg CRP, Class 5: refresh |
| $k = r_f + \beta$ ERP | 6.68% | CAPM |
| $g_1$, first stage | 6.0% | Near consensus EPS growth of 5.6% |
| T, years | 5 | Years of above-trend growth; ours |
| $g_2$, terminal | 3.0% | Below the 4–6% sales algorithm [8]; ours |
| Gordon value | USD 58.78 | −38% vs price |
| **Two-stage value** | **USD 67.23** | **−29% vs price; 85% terminal value** |

### SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | 2.0% | 2.5% | 3.0% | 3.5% | 4.0% |
|---|---|---|---|---|---|
| 5.68% | 69.69 | 79.32 | 92.54 | 111.82 | 142.58 |
| 6.18% | 61.26 | 68.45 | 77.89 | 90.86 | 109.79 |
| **6.68%** | 54.63 | 60.18 | **67.23** | 76.50 | 89.23 |
| 7.18% | 49.28 | 53.68 | 59.12 | 66.04 | 75.14 |
| 7.68% | 44.88 | 48.43 | 52.74 | 58.09 | 64.88 |
| Upside | −42% | −36% | −29% | −19% | −5% |

*Two-stage DDM value, USD. Shaded: at or above the price of 94.08. Dark: base case. Upside at the base k.*

The DDM reaches the price in only 3 of 25 cases, and only if k falls and g2 rises together. The price already sits in the favourable corner of the grid.

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

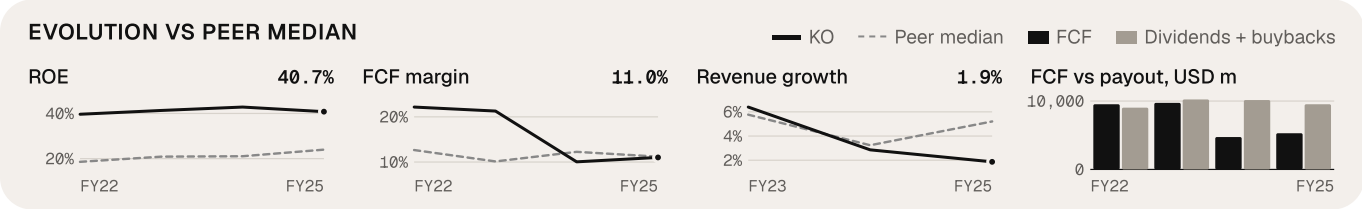
| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **PEP** PepsiCo | 187.2 | 15.9x | 24.4x | 11.9x |
| **KDP** Keurig Dr Pepper | 48.8 | 14.2x | 32.8x | 18.6x |
| **MNST** Monster Beverage | 92.7 | 36.2x | 47.8x | 30.5x |
| **CCEP** Coca-Cola Europacific | 49.7 | 20.5x | 24.8x | 17.2x |
| **CELH** Celsius Holdings | 7.4 | 17.2x | 22.8x | 13.7x |
| **FIZZ** National Beverage | 3.3 | 18.1x | 21.2x | 13.5x |
| Peer average | | **20.3x** | **29.0x** | **17.6x** |
| Peer median | | **17.6x** | **24.6x** | **15.4x** |
| **KO** Coca-Cola | **404.7** | **26.7x** | **76.4x** | **24.8x** |
| Implied price at peer average | | 71.75 | 35.65 | 64.67 |
| Implied price at peer median | | 62.15 | 30.29 | 56.11 |

*Comps value USD 59.13 (−37%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | FY25 | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND | |
|---|---|---|---|---|---|---|---|
| Profitability | ROE | **40.7%** | 23.9% | 41.2% | better | worsening | |
| Profitability | ROA | **12.5%** | 7.1% | 10.6% | better | improving | |
| Profitability | FCF margin | **11.0%** | 11.2% | 17.8% | worse | worsening | **Red flag** |
| Growth | Revenue growth | **1.9%** | 5.2% | 4.6% | worse | worsening | **Red flag** |
| Growth | Gross margin | **61.6%** | 52.3% | 59.6% | better | improving | |
| Safety | Debt / equity | **1.41** | 0.63 | 1.68 | worse | improving | |
| Payout | Payout / FCF | **1.80** | 0.55 | 1.38 | worse | worsening | **Red flag** |

**Earnings test:** adjusted EPS 3.00 (FY25) → 3.34 → 3.53 (forward): rising. Trailing GAAP EPS of 3.39 is close to the adjusted figure.




**WATCH** **Red flags or falling earnings, not both: watch, not a trap.** Two flags are one-offs: the USD 6.0bn FY24 IRS deposit [4] and the USD 6.1bn FY25 fairlife payment [5] cut FCF; the second also lifts P/FCF to 76.4x. FY26 guidance restores FCF [1]. Organic revenue grew 5% in FY25 [5]. **The issue is the price, not the business.**

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | α closed = $(1 + k)(V_0 - P_0) / P_0$ | −30.4% | −2.10 |
| Gap never closes | α never = $D_1 / P_0 + g - k$ | −1.4% | −0.10 |
| **Used: never closes** | **Goes into Treynor-Black** | **−1.4%** | **−0.10** |

Q4 results and the dividend raise should fall after the challenge [2][5], and no dated event forces the gap shut by December, so we use α never. It turns positive only if dividends grow above 4.4% forever. IR −0.10, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

### UPSIDE: WHAT WOULD PROVE US WRONG

A g2 of about 4.2% would justify the price, close to the 4.4% it implies. We are wrong if Q3's volume growth lasts and dividends compound above that, or if long yields fall. A court win returns USD 6.6bn [4].

### MANAGEMENT QUALITY AND THE ACTIVIST ROUTE

CEO Henrique Braun, since 31 Mar 2026, joined in 1996 [6]. Capital goes to dividends and debt: buybacks were USD 0.9bn in nine months [4]. No activist route: about USD 400bn of market cap, and Berkshire has held since 1988 [7].

***Model flags:*** *Negative alpha: weight 0 (long-only).*

[1] Coca-Cola, Q3 2026 results, 27 Oct 2026. [2] Coca-Cola, 64th dividend increase, 19 Feb 2026. [3] Just Drinks, Tribunal clears bottling deal, 15 Sep 2026. [4] Coca-Cola, Form 10-Q, Q3 2026. [5] Coca-Cola, Q4 2025 results, 10 Feb 2026. [6] Coca-Cola, CEO succession, 10 Dec 2025. [7] Motley Fool, Berkshire's holdings, 27 Feb 2026. [8] Q3 2026 earnings call transcript (Singju Post). Market data: Yahoo Finance and FRED, downloaded 01.11.26.

# [Company name] STOCK 3

[Exchange] · [Sector] · [Industry] · USD · Price date —

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| DDM | USD, close — | $V_0 / P_0 - 1$ | IR — | USD | DO USD — |

## 1 · INVESTMENT CASE

| | |
|---|---|
| FAIR VALUE VS PRICE | **[TO FILL]** |
| MARGIN OF SAFETY AND ALPHA | Margin of safety —, alpha — a year (IR —), assuming [assumption]. |
| CATALYST | **[TO FILL]** · [date]. **[TO FILL] [TO FILL]** |
| DECISION | **[Decision]. [TO FILL]** |

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

**[TO FILL]**

METHODS THAT DO NOT FIT

**[TO FILL]**

DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | — | — |
| $D_0$, dividend | — | — |
| β on SPY | — | — |
| $r_f$, 10-year yield | — | — |
| ERP | — | — |
| $k = r_f + \beta$ ERP | — | CAPM |
| $g_1$, first stage | — | [TO FILL] |
| T, years | — | [TO FILL] |
| $g_2$, terminal | — | [TO FILL] |
| Gordon value | — | — vs price |
| **Two-stage value** | **—** | **— vs price** |

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | — | — | — | — | — |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| Upside | — | — | — | — | — |

*Two-stage DDM value, USD. Shaded: at or above the price of —. Dark: base case. Upside at the base k.*

**[TO FILL]**

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| Peer average | | – | – | – |
| Peer median | | – | – | – |
| **STOCK 3** [Company name] | – | – | – | – |
| Implied price at peer average | | – | – | – |
| Implied price at peer median | | – | – | – |

*Comps value n/a: average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | [FY] | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND |
|---|---|---|---|---|---|---|
| Profitability | ROE | – | – | – | — | — |
| Profitability | ROA | – | – | – | — | — |
| Profitability | FCF margin | – | – | – | — | — |
| Growth | Revenue growth | – | – | – | — | — |
| Growth | Gross margin | – | – | – | — | — |
| Safety | Debt / equity | – | – | – | — | — |
| Payout | Payout / FCF | – | – | – | — | — |

**Earnings test:** adjusted EPS — ([FY]) → — → — (forward): —. Trailing GAAP EPS: —.

**EVOLUTION VS PEER MEDIAN**

STOCK 3 --- Peer median FCF Dividends + buybacks

ROE | FCF margin | Revenue growth | FCF vs payout, USD m

– **[TO FILL]**

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | $\alpha$ closed = $(1 + k)(V_0 - P_0) / P_0$ | – | – |
| Gap never closes | $\alpha$ never = $D_1 / P_0 + g - k$ | – | – |
| **Used: [assumption]** | **Goes into Treynor-Black** | – | – |

**[TO FILL]** IR —, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

[1] Market data: Yahoo Finance and FRED, downloaded —.

# [Company name] STOCK 4

[Exchange] · [Sector] · [Industry] · USD · Price date —

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| DDM | USD, close — | $V_0 / P_0 - 1$ | IR — | USD | DO USD — |

## 1 · INVESTMENT CASE

| | |
|---|---|
| FAIR VALUE VS PRICE | **[TO FILL]** |
| MARGIN OF SAFETY AND ALPHA | Margin of safety —, alpha — a year (IR —), assuming [assumption]. |
| CATALYST | **[TO FILL]** · [date]. **[TO FILL] [TO FILL]** |
| DECISION | **[Decision]. [TO FILL]** |

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

**[TO FILL]**

METHODS THAT DO NOT FIT

**[TO FILL]**

DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | — | — |
| $D_0$, dividend | — | — |
| β on SPY | — | — |
| $r_f$, 10-year yield | — | — |
| ERP | — | — |
| $k = r_f + \beta$ ERP | — | CAPM |
| $g_1$, first stage | — | [TO FILL] |
| T, years | — | [TO FILL] |
| $g_2$, terminal | — | [TO FILL] |
| Gordon value | — | — vs price |
| **Two-stage value** | — | **— vs price** |

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | — | — | — | — | — |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| Upside | — | — | — | — | — |

*Two-stage DDM value, USD. Shaded: at or above the price of —. Dark: base case. Upside at the base k.*

**[TO FILL]**

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| Peer average | | – | – | – |
| Peer median | | – | – | – |
| **STOCK 4** [Company name] | – | – | – | – |
| Implied price at peer average | | – | – | – |
| Implied price at peer median | | – | – | – |

*Comps value n/a: average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | [FY] | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND |
|---|---|---|---|---|---|---|
| Profitability | ROE | – | – | – | — | — |
| Profitability | ROA | – | – | – | — | — |
| Profitability | FCF margin | – | – | – | — | — |
| Growth | Revenue growth | – | – | – | — | — |
| Growth | Gross margin | – | – | – | — | — |
| Safety | Debt / equity | – | – | – | — | — |
| Payout | Payout / FCF | – | – | – | — | — |

**Earnings test:** adjusted EPS — ([FY]) → — → — (forward): —. Trailing GAAP EPS: —.

**EVOLUTION VS PEER MEDIAN**

STOCK 4 · Peer median · FCF · Dividends + buybacks

ROE | FCF margin | Revenue growth | FCF vs payout, USD m

– **[TO FILL]**

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | $\alpha$ closed = $(1 + k)(V_0 - P_0) / P_0$ | – | – |
| Gap never closes | $\alpha$ never = $D_1 / P_0 + g - k$ | – | – |
| **Used: [assumption]** | **Goes into Treynor-Black** | **–** | **–** |

**[TO FILL]** IR —, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

[1] Market data: Yahoo Finance and FRED, downloaded —.

# [Company name] STOCK 5

[Exchange] · [Sector] · [Industry] · USD · Price date —

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| DDM | USD, close — | $V_0 / P_0 - 1$ | IR — | USD | DO USD — |

## 1 · INVESTMENT CASE

| | |
|---|---|
| FAIR VALUE VS PRICE | **[TO FILL]** |
| MARGIN OF SAFETY AND ALPHA | Margin of safety —, alpha — a year (IR —), assuming [assumption]. |
| CATALYST | **[TO FILL]** · [date]. **[TO FILL] [TO FILL]** |
| DECISION | **[Decision]. [TO FILL]** |

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

**[TO FILL]**

METHODS THAT DO NOT FIT

**[TO FILL]**

DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | — | — |
| $D_0$, dividend | — | — |
| β on SPY | — | — |
| $r_f$, 10-year yield | — | — |
| ERP | — | — |
| $k = r_f + \beta$ ERP | — | CAPM |
| $g_1$, first stage | — | [TO FILL] |
| T, years | — | [TO FILL] |
| $g_2$, terminal | — | [TO FILL] |
| Gordon value | — | — vs price |
| **Two-stage value** | — | **— vs price** |

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | — | — | — | — | — |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| Upside | — | — | — | — | — |

*Two-stage DDM value, USD. Shaded: at or above the price of —. Dark: base case. Upside at the base k.*

**[TO FILL]**

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| Peer average | | – | – | – |
| Peer median | | – | – | – |
| **STOCK 5** [Company name] | – | – | – | – |
| Implied price at peer average | | – | – | – |
| Implied price at peer median | | – | – | – |

*Comps value n/a: average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | [FY] | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND |
|---|---|---|---|---|---|---|
| Profitability | ROE | – | – | – | — | — |
| Profitability | ROA | – | – | – | — | — |
| Profitability | FCF margin | – | – | – | — | — |
| Growth | Revenue growth | – | – | – | — | — |
| Growth | Gross margin | – | – | – | — | — |
| Safety | Debt / equity | – | – | – | — | — |
| Payout | Payout / FCF | – | – | – | — | — |

**Earnings test:** adjusted EPS — ([FY]) → — → — (forward): —. Trailing GAAP EPS: —.

**EVOLUTION VS PEER MEDIAN**

STOCK 5 · Peer median · FCF · Dividends + buybacks

ROE | FCF margin | Revenue growth | FCF vs payout, USD m

– [TO FILL]

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | $\alpha$ closed = $(1 + k)(V_0 - P_0) / P_0$ | – | – |
| Gap never closes | $\alpha$ never = $D_1 / P_0 + g - k$ | – | – |
| **Used: [assumption]** | **Goes into Treynor-Black** | – | – |

**[TO FILL]** IR —, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

[1] Market data: Yahoo Finance and FRED, downloaded —.

# [Company name] STOCK 6

[Exchange] · [Sector] · [Industry] · USD · Price date —

| FAIR VALUE | PRICE | MARGIN OF SAFETY | ALPHA, ANNUAL | MARKET CAP | DIVIDEND YIELD |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| DDM | USD, close — | $V_0 / P_0 - 1$ | IR — | USD | DO USD — |

## 1 · INVESTMENT CASE

| | |
|---|---|
| FAIR VALUE VS PRICE | **[TO FILL]** |
| MARGIN OF SAFETY AND ALPHA | Margin of safety —, alpha — a year (IR —), assuming [assumption]. |
| CATALYST | **[TO FILL]** · [date]. **[TO FILL] [TO FILL]** |
| DECISION | **[Decision]. [TO FILL]** |

## 2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

**[TO FILL]**

METHODS THAT DO NOT FIT

**[TO FILL]**

DDM INPUTS

| INPUT | VALUE | SOURCE OR REASON |
|---|---|---|
| $P_0$, price | — | — |
| $D_0$, dividend | — | — |
| β on SPY | — | — |
| $r_f$, 10-year yield | — | — |
| ERP | — | — |
| $k = r_f + \beta$ ERP | — | CAPM |
| $g_1$, first stage | — | [TO FILL] |
| T, years | — | [TO FILL] |
| $g_2$, terminal | — | [TO FILL] |
| Gordon value | — | — vs price |
| **Two-stage value** | — | **— vs price** |

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

| k \ $g_2$ | — | — | — | — | — |
|---|---|---|---|---|---|
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| — | — | — | — | — | — |
| Upside | — | — | — | — | — |

*Two-stage DDM value, USD. Shaded: at or above the price of —. Dark: base case. Upside at the base k.*

**[TO FILL]**

## 3 · COMPARABLE COMPANIES: A DOUBLE CHECK

| COMPANY | CAP, BN | FWD P/E | P/FCF | EV/EBITDA |
|---|---|---|---|---|
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| **[PEER]** [Peer name] | – | – | – | – |
| Peer average | | – | – | – |
| Peer median | | – | – | – |
| **STOCK 6** [Company name] | – | – | – | – |
| Implied price at peer average | | – | – | – |
| Implied price at peer median | | – | – | – |

*Comps value n/a: average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.*

## 4 · VALUE-TRAP CHECK

| CHARACTERISTIC | METRIC | [FY] | PEER MEDIAN | OWN PAST AVG. | VS PEERS | TREND |
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| Profitability | ROE | – | – | – | — | — |
| Profitability | ROA | – | – | – | — | — |
| Profitability | FCF margin | – | – | – | — | — |
| Growth | Revenue growth | – | – | – | — | — |
| Growth | Gross margin | – | – | – | — | — |
| Safety | Debt / equity | – | – | – | — | — |
| Payout | Payout / FCF | – | – | – | — | — |

**Earnings test:** adjusted EPS — ([FY]) → — → — (forward): —. Trailing GAAP EPS: —.

**EVOLUTION VS PEER MEDIAN**

STOCK 6 · Peer median · FCF · Dividends + buybacks

ROE | FCF margin | Revenue growth | FCF vs payout, USD m

– **[TO FILL]**

## 5 · ALPHA

| ASSUMPTION | FORMULA | α, annual | IR |
|---|---|---|---|
| Gap closes in 1 year | $\alpha$ closed = $(1 + k)(V_0 - P_0) / P_0$ | – | – |
| Gap never closes | $\alpha$ never = $D_1 / P_0 + g - k$ | – | – |
| **Used: [assumption]** | **Goes into Treynor-Black** | – | – |

**[TO FILL]** IR —, against 0.64 for Buffett.

## 6 · SPECIFIC ISSUES

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

**[TO FILL]**

[1] Market data: Yahoo Finance and FRED, downloaded —.

# Treynor-Black and the new portfolio

| SLEEVE | EX-ANTE TE VS SAA | EX-ANTE VOLATILITY | 1-MONTH 5% VAR |
|---|---|---|---|
| **20%** | **4.73%** | **8.70%** | **4.13%** |
| Sold from the SAA | Budget 2–5% | SAA 8.40% | SAA 3.99% |

**TABLE 3 · TREYNOR-BLACK: THE STOCKS INSIDE THE 20% SLEEVE**

| STOCK | α, ANNUAL | $\sigma^2(\varepsilon)$ | α / $\sigma^2(\varepsilon)$ | IR | RAW, % OF THE 20% SLEEVE | ENTERED, % OF THE 20% SLEEVE | ENTERED, % OF THE PORTFOLIO |
|---|---|---|---|---|---|---|---|
| **HRL** Hormel Foods | +34.0% | 0.0533 | 6.37 | 1.47 | 111.50% | 100.00% | 20.00% |
| **KO** Coca-Cola · **set to 0** | -1.4% | 0.0210 | -0.66 | -0.10 | **-11.50%** | 0.00% | 0.00% |
| [Stock 3] | – | – | – | – | – | – | – |
| [Stock 4] | – | – | – | – | – | – | – |
| [Stock 5] | – | – | – | – | – | – | – |
| [Stock 6] | – | – | – | – | – | – | – |
| **Sleeve, total** | **–** | **–** | **–** | **–** | **100.00%** | **100.00%** | **20.00%** |
| Active portfolio A | +34.0% | 0.0533 | – | 1.47 | – | – | – |

*Weights inside the sleeve ∝ α / $\sigma^2(\varepsilon)$ (Class 3 Part II): weight in the portfolio = weight in the sleeve × 20%. KO: negative raw weight, entered as 0 by the course rule (Checkpoint 1: weight 0 for a negative alpha, long-only); the positive weights are rescaled to fill the sleeve, and the active portfolio A uses the entered weights. Treynor-Black optimal size $w_A^* = 84.9\%$; we hold 20%. Sharpe Ratio of the SAA 0.30, with the active portfolio 1.50 (eq. 16).*

**TABLE 4 · PORTFOLIO DESCRIPTION, AS ENTERED IN BLOOMBERG PRTU**

| SECURITY | BLOOMBERG TICKER | CCY | SHARES | TRADE | PRICE | WEIGHT |
|---|---|---|---|---|---|---|
| Vanguard Total Stock Market ETF | VTI US Equity | USD | 23,208 | -5,941 | 371.57 | 8.72% |
| Vanguard FTSE Developed Markets ETF | VEA US Equity | USD | 116,666 | -30,703 | 69.44 | 8.19% |
| iShares Core MSCI Emerging Markets ETF | IEMG US Equity | USD | 109,002 | -24,318 | 74.25 | 8.18% |
| Vanguard Total Bond Market ETF | BND US Equity | USD | 147,372 | -40,853 | 71.56 | 10.66% |
| Vanguard Total International Bond ETF | BNDX US Equity | USD | 275,123 | -74,608 | 47.39 | 13.18% |
| iShares TIPS Bond ETF | TIP US Equity | USD | 113,158 | -31,444 | 106.69 | 12.21% |
| SPDR Gold Shares | GLD US Equity | USD | 24,794 | -4,383 | 355.78 | 8.92% |
| abrdn Bloomberg All Commodity Strategy K-1 Free ETF | BCI US Equity | USD | 381,126 | -88,132 | 25.74 | 9.92% |
| Hormel Foods | HRL US Equity | USD | 929,447 | +929,447 | 21.28 | 20.00% |
| Coca-Cola · not bought: negative alpha | KO US Equity | USD | 0 | 0 | 94.08 | 0.00% |
| [Stock 3] | [TICKER] US Equity | USD | – | – | – | – |
| [Stock 4] | [TICKER] US Equity | USD | – | – | – | – |
| [Stock 5] | [TICKER] US Equity | USD | – | – | – | – |
| [Stock 6] | [TICKER] US Equity | USD | – | – | – | – |
| Cash, rounding leftover (USD 8,273.19) | | USD | | | | 0.01% |
| **Total (USD 98,893,227)** | | **USD** | | | | **100.00%** |

*Price date: close of 30 October 2026 for every position. The 20% sleeve was raised by every ETF cut to 80% of its SAA target weight. Whole shares, rounded down; the rest is cash. The weights add up to 100.00%. Ex-ante TE, volatility and VaR on the last 60 complete months (2021-11 – 2026-10).*

# The team

| | | | |
|---|---|---|---|
| Luca Di Pietro | Analyst | Tommaso Rotondò | Analyst |
| Filippo Selmi | Analyst | Giulia Musi | Analyst |
| Elena Rocco | Analyst | Aaron Arauz | Analyst |

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Matterhorn Capital Management is a simulated portfolio managed by students for the USI Asset Management Challenge. All figures are based on virtual capital and are presented for educational purposes only. Past performance is not indicative of future results. Nothing in this report constitutes investment advice or an offer to buy or sell any security.